

after the event is irrelevant to our discussion. Viewing past experience as a lesson for the future, we can see that *selecting railroad bonds on a depression basis* would mean requiring a larger margin of safety in normal times than was heretofore considered necessary.

The 1937–1938 Experience. These conclusions with respect to railroad and utility bonds are supported by the behavior of the two groups in the 1937–1938 recession. Nearly all issues which met reasonably stringent quantitative tests at the beginning of 1937 came through the ensuing slump with a relatively small market decline and no impairment of inherent position. On the other hand, bonds of both groups showing a substandard earnings coverage for 1936 suffered in most cases a really serious loss of quoted value, which in some instances proved the precursor of financial difficulties for the issuer.⁴

3. Depression Performance of Industrial Bonds. In the case of industrial obligations, the 1937–1938 pattern and the 1931–1933 pattern are appreciably different, so that the investor's attitude toward this type of security may depend somewhat on whether he feels it necessary to guard against the more or the less serious degree of depression. Studying the 1931–1933 record, we note that price collapses were not due primarily to unsound financial structures, as in the case of utility bonds, nor to a miscalculation by investors as to the margin of safety needed, as in the case of railroad bonds. We are confronted in many cases by a sudden disappearance of earning power, and a disconcerting question as to whether the business can survive. A company such as Gulf States Steel, for example, earned its 1929 interest charges at least $3\frac{1}{2}$ times in every year from 1922 to 1929. Yet in 1930 and 1931 operating losses were so large as to threaten its solvency.⁵ Many basic industries, such as the Cuban sugar producers and our own coal mines, were depressed prior to the 1929 debacle. In the past, such eclipses had always proven to be temporary, and investors felt justified in holding the bonds of these companies in the expectation of a speedy recovery. But in this instance the continuance of adverse conditions beyond all previous experience defeated their calculations and destroyed the values behind their investment.

⁴ See Appendix Note 11 for a summary of the performance of representative railroad and utility bonds in 1937–1938, as related to earnings coverage for 1936.

⁵ See Appendix Note 12 for supporting data and other examples.